Other Expense, net: The Company's other expense consists of the following:

(in thousands)	Year Ended December 31, 2013	Year Ended December 31, 2012
Foreign currency losses, net	$ (1,115)	$ (1,401)
Other income (expense), net	69	(4)
Total other expense, net	$ (1,046)	$ (1,405)

Income Tax Provision: The Company recorded income tax expense of $77.2 million and had income before income taxes of $322.5 million for the year ended December 31, 2013, representing an effective tax rate of 23.9%. During the year ended December 31, 2012, the Company recorded income tax expense of $90.1 million and had income before income taxes of $293.5 million, representing an effective tax rate of 30.7%.

In December 2013, the Company received notice from the IRS that the Joint Committee on Taxation took no exception to the Company's tax returns that were filed for 2009 and 2010. An $11.0 million tax benefit was recognized in the Company's 2013 financial results as the Company had effectively settled uncertainty regarding the realization of refund claims filed in connection with the 2009 and 2010 returns.

In the U.S., which is the largest jurisdiction where the Company receives such a tax credit, the availability of the research and development credit expired at the end of the 2011 tax year. In January 2013, the U.S. Congress passed legislation that reinstated the research and development credit retroactive to 2012. The income tax provision for the year ended December 31, 2013 includes approximately $2.3 million related to the reinstated research and development credit for 2012 activity.

The decrease in the effective tax rate from the prior year is primarily due to the release of an uncertain tax position mentioned above, the reinstatement of the U.S. research and development credit mentioned above, and cash repatriation activities. When compared to the federal and state combined statutory rate, the effective tax rates for the years ended December 31, 2013 and 2012 were favorably impacted by lower statutory tax rates in many of the Company’s foreign jurisdictions, the domestic manufacturing deduction and tax benefits associated with the merger of the Company’s Japan subsidiaries in 2010.

Net Income: The Company’s net income for the year ended December 31, 2013 was $245.3 million as compared to net income of $203.5 million for the year ended December 31, 2012. Diluted earnings per share was $2.58 for the year ended December 31, 2013 and $2.14 for the year ended December 31, 2012. The weighted average shares used in computing diluted earnings per share were 95.1 million and 95.0 million for the years ended December 31, 2013 and 2012, respectively.